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AKZONOBEL

Heading for the Exit

As the competition intensifies in India's paint industry, Dutch firm AkzoNobel is looking to become a minor partner to an established player

BY KRISHNA GOPALAN

► **WHEN DUTCH PAINT** company AkzoNobel said in the third week of September that it was planning to cut 2,000 jobs globally, the signs looked ominous. Just a few months before that announcement, the paint company, which is known for the Dulux brand, had closed plants in Ireland, the Netherlands, and Zambia.

Soon after that there was a review of its decorative business in South Asia. Of course, that included India as well, where AkzoNobel has a 5-6% market share (it has been in India for 70 years through various

SALE PRICE

Media reports have indicated an asking price of \$2.5-3 billion (at least ₹20,000 crore) to buy out AkzoNobel in India, and new players could be interested. The company is known for its Dulux brand

rounds of ownership), with nimble-footed local players only getting stronger. Asian Paints remains the largest, followed by Berger Paints, and then there's Birla Opus' aggressive launch, which has only put more pressure on smaller players.

The question is, what options are being considered in India, which forms the company's regional presence along with Pakistan, Sri Lanka and Indonesia? Gregoire Poux-Guil-laume, AkzoNobel's CEO, in a call with analysts, spoke of markets with more natural consolidators and how the company was "happy to be a minority partner or exit altogether".

Speaking about Birla Opus' entry and Asian Paints "solidifying its position" he believed that "it is a good time to have conversations with the various market players to see how we can contribute a winning hand" before going on to say that AkzoNobel "is open to being a junior partner to a company which has a larger distribution network than itself".

Industry executives say a potential sale could see higher levels of interest from newer players like JSW, Birla Opus or even Adani (since paints complements the cement business). Media reports have indicated an asking price of \$2.5-3 billion (at least ₹20,000 crore) to buy out AkzoNobel in India. The market capitalisation is around ₹16,500 crore and for FY24, revenue was ₹4,000 crore with a net profit of ₹427 crore. That steep price tag could prove to be a hitch.

"Obviously, they are not in great shape globally. In the case of India, it is surprising they did not look for options earlier," says Mahesh Singhi, Founder & MD of Singhi Advisors, an M&A advisory firm. In his view, firms like JSW and Birla Opus had a small or no presence in paints three years ago. "Now, with a brand portfolio and good distribution, they will need a very good reason to look at AkzoNobel." **BT**

@krishnagopalan